01. Project Brief & Business Case

This brief authorizes the Digital Onboarding with KYC project: 80% of online personal account applications decided within 24 hours, live within 6 months, for a one time cost of CAD $950,000 that pays back in about 1.8 years

1.1 Document Control

Field	Value
Project	Digital Customer Onboarding & KYC
Project ID	NB-DIG-001
Organization	Northbridge Bank (fictional financial institution)
Prepared by	Kashish Rastogi, Business Analyst
Version	1.0
Status	Draft

1.2 Background

Northbridge Bank is a regional bank with 400,000 retail customers and 62 branches across Canada. About 24,000 prospective customers start an online account enquiry through the website each year. Applicants are asked to email scanned ID and proof-of-address documents. Operations staff then verify documents manually, re-key data into three systems (CRM, core banking, and a compliance case tool), and run sanctions checks in a separate screening tool. Competing digital banks open accounts in minutes, and Northbridge is losing younger applicants who expect a fully online experience.

1.3 Problem Statement

The manual onboarding process is slow, error-prone, and creates frustration for customers.

- The average time from application to approved account is 5 days.
- Only 65% of online applications end in an opened account: 28% are abandoned and 7% are declined or withdrawn after review.
- The same data is retyped into 3 systems, so 10.7% of opened accounts need rework.
- Compliance reviews differ between staff members, which creates regulatory risk under FINTRAC rules.

Evidence	Value	Source
Applications reaching “Account Opened”	65% (28% abandoned, 7% declined)	Onboarding report, sample of 3,000 applications
Average time to open an account	4-5 days (median)	Onboarding report
Average manual handling per opened account	30 minutes	Operations time log, 120 applications
Accounts needing rework from data entry errors	10.7%	Compliance return log
Top self-reported abandonment reasons	Too slow, unclear requirements, long form	Exit survey of 400 applicants who abandoned the process

1.4 Project Objectives (SMART)

Every objective is measured 6 months after go live.

ID	Objective	Baseline	Target	Measure by
OBJ-1	Reduce time to open an account	4-5 days	80% decided within 24 hours; Median 2 days or less	Onboarding platform timestamps
OBJ-2	Increase online application completion	65%	85% or higher	Funnel analytics tracking dashboard
OBJ-3	Reduce manual handling per opened account	30 min	10 min or less	Operational time logs
OBJ-4	Reduce rework from data errors	10.7%	Under 2%	Compliance return log
OBJ-5	Make KYC decisions consistent	Inconsistent manual reviews	0 critical findings in first internal audit	Audit report

1.5 Scope Summary

- In-Scope:
- Out-Scope:
- Full details in the BRD.

1.6 High-Level Requirements

- Applicants can complete the application on web and mobile browsers in under 15 minutes.
- Identity is verified using government photo ID with a selfie match, or the credit file method as a fallback.
- Every applicant is screened against sanctions and PEP lists before approval, and checked for document fraud before a decision.
- Each applicant receives a risk rating; low-risk applicants are approved automatically, medium-risk applicants go to manual review, and high-risk applicants go to compliance for enhanced review.
- Approved data flows automatically to core banking, CRM, and compliance tools with no re-typing of the same data.
- Applicants receive status updates on account opening by email and SMS.

1.7 Milestones

Milestones	Taget
Charter and business case approval	End of Month 1
Current state analysis and BRD signed-off	End of Month 2
Vendor due diligence complete and contract signed	End of Month 3
FRD signed off	End of Month 4
Solution design complete	End of Month 5
UAT sign-off	Middle of Month 6
Go-live and project closure	End of Month 6

1.8 Assumptions

- An identity verification vendor with a REST API will be selected before design starts.
- Core banking, CRM and compliance systems can receive data through APIs or batch files several times a day, so accounts approved in the morning created the same day.
- CRM and Compliance rules are documented well enough to be automated.
- Stakeholders are available for interviews and workshops within the first 1 month and 2 month.

1.9 Constraints

- **Regulatory**: must comply with FINTRAC requirements under the Proceeds of Crime (Money Laundering) and Terrorist Financing Act, PIPEDA for privacy, OSFI Guideline B-10 for third party risk and OSFI Guideline B-13 for technology and cyber risk.
- **Technology**: Core banking system is a legacy platform with limited API support
- **Time**: Go live in 6 months of charter approval
- **Budget**: One-time budget capped at CAD $950,000
- **Vendor**: Identity verification must use a third-party vendor (not built in-house).

1.10 Proposed solution

An Online onboarding flow where the customer completes one application, captures a photo ID and a selfie on their phone or laptop camera, and receives instant automated verification results.

Risk Rating	What happens	Decision Target
Low	Approved automatically; account created in the next core banking batch	Same day
Medium	Manual review queue in operations	Within 24 hours of entering the queue
High	Enhanced due diligence by compliance	Within 3 business days

1.11 Business Case (Cost-Benefit Analysis)

Over 5 years the project has a net present value of $782,545 at a 10% discount rate, an IRR of 34.5% and a payback of about 2.4 years; it only creates value if new accounts earn at least about $85 a year each.

All figures are in CAD. The analysis covers 5 years after go live, discounts future cash at 10% a year, and assumes benefits reach only 50% in Year 1 while adoption ramps up. Every assumption is listed so a reviewer can challenge it

Assumption

Assumptions	Value	Basis
Online applications started per year	24,000	Website analysis
Accounts opened today	15,600	24,000 x 65%
Accounts opened after go-live	20,400	24,000 x 85% (OBJ-2 target)
Additional accounts per year	4.800	20,400-15,600
Share of additional accounts that are truly new to the bank	75% (3600 accounts)	Illustrative; some would have opened in a branch anyway
Annual revenue per new account	$150	Illustrative (fees plus net interest

		margin); to be confirmed by Finance
Fully loaded staff cost	$38 per hour	Salary plus benefits, Operations
Applicants reaching the identity check	21600	90% of applications started
Vendor fee	$2.10 per verification attempt	Vendor quote (illustrative)
Discount rate	10% a year	Illustrative bank hurdle rate; to be confirmed by finance
Analysis period	5 year after go live	Expected life of the platform before a major upgrade
Year 1 adoption	50% of full benefits	Customers and staff take time to adopt the new flow

All volumes are yearly totals for online applications only; branch applications are out of scope.

One-time implementation costs

These are expenses incurred to build and launch the solutions.

Item	Cost (CAD)
Identify verification vendor integration	$300,000
Core banking and CRM Integration	$350,000
Digital onboarding UX and build	$90,000
Project management, testing, compliance review	$210,000
Total one-time	**$950,000**

Annual benefits

Benefits	Calculation	Annual Value
Reduce manual handling	Today: 15,600 accounts x 30 min = 7800 hrs After go-live: 20400 accounts x 10 min = 3400 hrs Saving: 4400 hrs x $38	$167,200
Additional accounts from higher completion	3600 x $150	$540,000
Total annual benefits		**$707,200**

Less rework (OBJ4) is a further benefit but is not counted, to keep the case conservative. The 4,400 hours saved equals about 2.4 full time staff, who are redeployed to the review queue and customer service rather than removed.

Annual running costs

Benefits	Annual Value
Verification vendor fees (22,000 accounts x $2.10 per account)	$45,360
Platform license and support	$120,000
Total annual benefits	**$165,360**

Results

Discounted at 10%

A dollar received in the future is worth less than a dollar today, because today's dollar could be invested elsewhere. Each year's cash is divided by 1.10 once for every year it is away:
***Discounted value** = Net cash flow ÷ (1.10)^year*

Year	Benefits	Running costs	One time cost	Net cash flow	Discounted at 10%	Cumulative net cash
Year 0 (build)	$0	$0	$950,000	$950,000	$950,000	$950,000
Year 1	*($707,200 × 50%)* $353,600	$165360		(353600-165360) $188240	(188240/1.10) $171127	(-950000+188240) $761,760
Year 2	$707,200	$165360		$541840	$447802	$219,920
Year 3	$707,200	$165360		$541840	$407092	$321,290
Year 4	$707,200	$165360		$541840	$370084	$863,760
Year 5	$707,200	$165360		$541840	$336440	**$1,405,600**

Financial KPI

KPI	Value	What it tells reader	Math
Net present value (NPN), 5 year @ 10%	$782,545	Positive, so the project creates value above the bank's required return	-950,000+171127+447802+407092+370084+336440
Internal rate of return (IRR)	34.5%	Well above the 10% hurdle rate	
Payback period	2.4 years	The $950,000 is recovered early in Year 3	
Discounted payback period	2.8 years	Payback after allowing for the time value of money	
Return on investment (ROI), 5 years	148%	$1,405,600 net gain ÷ $950,000 invested	
Benefit cost ratio	1.50	Each $1 of cost (present value) returns $1.50 of benefit	
Cost per online account opened	$19.90 today, $14.44 after go live	Operating cost per account falls by 24%	

1.12 Recommendation

Approve the project, with two conditions:

1. Finance confirms that revenue per new account is at least $85 a year, and validates the 85% completion target against a pilot or industry benchmark, before the vendor contract is signed.
2. The Sponsor reviews the business case again at the end of Month 3, once vendor due diligence and final vendor pricing are complete.

1.13 Approvals

Role	Name	Signature	Date
Project sponsor, Head of Retail Banking	Maya Chen		
Head of Compliance and AML officer	Daniel Okafor		
Head of IT	Priya Nair		
Head of Finance	James Whitfield		
Project Manager	Ryan Mitchell		